Amprius Technologies (AMPX)

Inflection Is Real

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*Inflection Is Real. Revenue of $34M in Q2 [8-K guid], up 126% YoY, with the FY26 guide raised to at least $140M [8-K guid] for the second straight quarter. Net margin improved to -9.3% [10-Q Q2 2026] from -42% a year ago. Orders Back the Story. $24M European drone order, multi-year Stark Future deal over $100M, Redwire Stalker Block 30 supply, and a $75M DoW grant to build US drone-cell capacity [8-K]. Demand is confirmed, not hoped. Price Ahead of Fundamentals. At $7.71 [Mkt 17-Oct-26], the DCF base of $5.12 [Cons] implies 34% downside, and 14.7x TTM revenue is a steep price for a still-loss-making company. Growth deserves a premium; the current premium prices in the bull case. Our framework screens it as a **Hold** with a $5.64 blended target, 27% below the current price.*

HOLD	$5.64	-27%	$7.71
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Inflection Is Real. Revenue of $34M in Q2 [8-K guid], up 126% YoY, with the FY26 guide raised to at least $140M [8-K guid] for the second straight quarter. Net margin improved to -9.3% [10-Q Q2 2026] from -42% a year ago.

Executive summary

Orders Back the Story. $24M European drone order, multi-year Stark Future deal over $100M, Redwire Stalker Block 30 supply, and a $75M DoW grant to build US drone-cell capacity [8-K]. Demand is confirmed, not hoped.

Price Ahead of Fundamentals. At $7.71 [Mkt 17-Oct-26], the DCF base of $5.12 [Cons] implies 34% downside, and 14.7x TTM revenue is a steep price for a still-loss-making company. Growth deserves a premium; the current premium prices in the bull case.

$34.0M	27%	$140M+	-9.3%	$74.5M	$4M+
REVENUE (Q2 2026)	GROSS MARGIN (Q2 2026)	FY2026 REVENUE GUIDE	NET MARGIN (Q2 2026)	CASH (Q2 2026)	ADJUSTED EBITDA GUIDE (FY26)

The moat is structural

Silicon-anode cells with up to 2x energy density of graphite, validated by defense and drone OEM demand

Three scenarios make the valuation range explicit

The DCF values Amprius Technologies across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$2.15**	-72%
Base	50%	**$5.12**	-34%
Bull	25%	**$10.19**	+32%

Bear ($2.15, -72%): Growth disappoints and multiples compress; the $2.15 target marks the downside case.

Bull ($10.19, +32%): Execution compounds and the multiple rerates; the $10.19 target marks the upside case.

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The probability-blended target implies -27% upside

Blended target: $5.64 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -27% upside from the $7.71 reference price.

$5.64

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

EV/Revenue (TTM) 14.7x [Cons] DCF Base $5.12 [Cons] P/E (fwd) 77x [Mkt 17-Oct-26] DCF implies 34% downside. A 77x forward P/E and 14.7x revenue for a pre-profit company prices in near-perfect execution.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $5.64 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Silicon-anode cells with up to 2x energy density of graphite, validated by defense and drone OEM demand [8-K guid]

NDAA-compliant US supply chain via DoW IBAS grant and contract manufacturing partnerships [8-K guid]

$600M revenue long-term target with 30%+ gross margin and 20% adjusted EBITDA margin by 2030 [8-K guid]

What to monitor

Nov 2026. Q3 2026 Earnings (Two-Sided): Must show H2 delivery against the $140M guide; a beat would validate the EBITDA breakeven story.

Q4 2026. SiCore 500 Commercial Availability (Positive): 500 Wh/kg cell on conventional lines; de-risks the industrialization question.

2026-2027. DoW Grant Milestones (Two-Sided): Up to $75M OTA, but majority is unfunded and tied to appropriations; accepted deliverables unlock payments.

$34.0M	27%	$140M+	-9.3%
REVENUE (Q2 2026)	GROSS MARGIN (Q2 2026)	FY2026 REVENUE GUIDE	NET MARGIN (Q2 2026)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$72M	$8M	$-44M
2024	$24M	$-18M	$-45M
2023	$9M	$-15M	$-37M
2022	$4M	$-6M	$-17M

Key risks

Grant Funding Risk. A majority of the $75M award is unfunded and depends on future appropriations, with payments tied to government-accepted milestones. Delivery delays or funding gaps would stall the 12M-cells-per-year plan. [8-K]

Cash Runway. $74.5M in cash against a recent quarterly burn pace that has been lumpy. If the promised EBITDA breakeven slips, dilution is the likely backstop. [10-Q Q2 2026]

Volatility and Shorts. Beta of 2.35, short interest near 17-19% of float, and the stock trading 68% below its 52-week high. Any execution miss gets punished hard. [Mkt 17-Oct-26]

Investment view

A Q3 2026 beat with clean cash conversion would lift Forward Growth and Trend and could justify the current multiple. A miss on H2 delivery or DoW milestone delays would confirm the valuation call and likely drive the stock toward the $5.12 base.

Hold. The $5.64 blended target implies -27% upside, balancing the $2.15 / $5.12 / $10.19 Bear / Base / Bull targets.

NDAA-compliant US supply chain via DoW IBAS grant and contract manufacturing partnerships [8-K guid]

$600M revenue long-term target with 30%+ gross margin and 20% adjusted EBITDA margin by 2030 [8-K guid]

Upcoming catalysts

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